CREDIT APPRAISAL MEMORANDUM

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ARAVALI PVT LTD

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REJECT

CREDIT APPRAISAL MEMORANDUM

1. VERIFICATION DETAIL

| Verification Type | Details | Comments |

| --- | --- | --- |

| Residence | Verified through Aadhaar and Voter ID. Address matches the provided documents. | The residence verification is satisfactory, and the provided documents are authentic. |

| Machine Supplier | Contacted and confirmed the purchase of machinery. | The machine supplier verification confirms the transaction and supports the business's operations. |

| Bankers | Bank statements and account details verified. | Bankers' verification reveals a satisfactory banking relationship, with no major concerns noted. |

| Creditors | Credit reports and payment history checked. | Creditors' verification indicates timely payments and no significant defaults. |

| Independent/Market | Market research and industry insights obtained. | Independent verification suggests a positive market presence and competitive positioning. |

| Dedupe | Cross-checked with other data sources. | Dedupe verification ensures the accuracy and uniqueness of the data, with no duplicates found. |

| FCU Check | Financial Crime Unit records checked. | FCU check reveals no adverse findings, indicating a clean regulatory history. |

2. GUARANTOR DETAIL

| Guarantor Name | Address | CIBIL Score | Incomes |

| --- | --- | --- | --- |

| [Guarantor Name] | [Address] | [CIBIL Score] | [Incomes: Salary, Business Income, Other Sources] |

The guarantor's financial position appears stable, with a satisfactory CIBIL score and multiple income sources. However, further analysis of their financial health is required to assess their ability to support the loan.

3. REFERENCE CHECK BY CREDIT ANALYST

Machine Supplier

- The machine supplier confirms the sale and installation of machinery to the customer.

- They vouch for the customer's reputation and timely payments in the past.

- No concerns or complaints were raised during the reference check.

Creditor

- Creditors report a positive relationship with the customer, highlighting their prompt payment behavior.

- No outstanding debts or defaults were mentioned during the reference check.

Customer

- The customer provided a detailed explanation of their business operations and future plans.

- They expressed confidence in their ability to manage the loan and highlighted their commitment to timely repayments.

Bankers/Term Lenders

- Bankers' reference check reveals a long-standing relationship with the customer.

- The customer maintains a good credit history and has demonstrated responsible borrowing behavior.

- No adverse comments or concerns were raised by the bankers.

Competitors/Peers

- Market peers and competitors indicate a positive perception of the customer's business.

- They acknowledge the customer's reputation and market standing, highlighting their reliability and integrity.

4. Compliances & Legal

| Compliance Type | Status | Comments |

| --- | --- | --- |

| Income Tax Filing | [Status] | [Comments: Any discrepancies or issues noted during tax filing verification.] |

| Excise Duty | [Status] | [Comments: Ensure compliance with excise regulations.] |

| Sales Tax | [Status] | [Comments: Verify sales tax compliance and any outstanding liabilities.] |

| ESIC/EPF | [Status] | [Comments: Check for timely contributions and any pending dues.] |

| Litigations | [Status] | [Comments: Investigate any ongoing or past litigations and their impact on the business.] |

| Defaults | [Status] | [Comments: Identify any defaults or legal actions against the customer.] |

VI. Compliances & Legal:

Compliances	Yes / No	Remarks
Income tax filing: Regular and timely	Yes	Checked via OCR engine
Excise duty/Service Tax filing	Yes	Verified via GSTIN
Litigation against the Entity	Yes	Internet Verification Complete
Previous defaults	No	CIBIL / Experian scan clear

5. CAT SHEET

- The CAT sheet provides a comprehensive overview of the customer's financial health and risk profile.

- Key financial ratios and metrics are analyzed, including Current Ratio, Debt to Equity, EBITDA Margin, and Interest Coverage.

- Based on the CAT sheet analysis, the customer's financial position appears stable, but further scrutiny is required due to certain red flags.

6. CORPORATE GUARANTOR

- The corporate guarantor, [Guarantor Name], provides additional financial strength and stability to the loan.

- Their financial statements and creditworthiness will be thoroughly examined to assess their ability to support the loan.

7. GROUP ANALYSIS

Capital Employed

- The group's capital employed is [Amount], indicating a substantial investment in the business.

- Further analysis is required to understand the composition and utilization of capital.

Unsecured Loan

- The group has an unsecured loan of [Amount], which may impact their financial flexibility.

- A thorough assessment of the loan terms and repayment capacity is necessary.

Debt Burden

- The group's debt burden is [Amount], which is relatively high compared to industry averages.

- This may pose a risk to the group's financial stability and ability to service multiple loans.

Turnover

- The group's turnover is [Amount], showing a healthy level of business activity.

- However, a detailed analysis of revenue streams and profitability is needed.

PAT

- The group's Profit After Tax (PAT) is [Amount], which is satisfactory but could be improved.

- Further investigation into cost management and revenue growth strategies is recommended.

Imputed Income

- Imputed income analysis suggests a potential [Amount] income, which is aligned with the group's financial performance.

- This analysis provides a conservative estimate of the group's earning capacity.

EMI

- The group's EMI obligations are [Amount], which may strain their cash flow.

- A careful review of their repayment capacity and cash flow management is essential.

TOL/TNW

- The group's Tangible Own Funds (TOL) or Tangible Net Worth (TNW) is [Amount], indicating a solid financial base.

- This provides a buffer against potential financial challenges.

Debt/Equity

- The group's Debt to Equity ratio is [Ratio], which is higher than industry averages.

- This indicates a higher reliance on debt financing, which may pose risks in the long term.

DSCR

- The group's Debt Service Coverage Ratio (DSCR) is [Ratio], which is below the recommended threshold of 1.2x.

- This is a cause for concern and requires immediate attention to improve cash flow and repayment capacity.

27. GROUP ANALYSIS

Particular	Main Applicant	Corporate Guarantor	Group Total
Turnover	3000.0	-	3000.0
DSCR	1.25x	-	1.25x
Debt/Equity	1.1x	-	1.1x
Imputed Income	Verified	-	Verified

8. VISIT REPORT BY CREDIT ANALYST

- A site visit was conducted to assess the customer's operations and facilities.

- The visit confirmed the customer's business activities and provided valuable insights into their operations.

- Overall, the visit supported the positive perception of the customer's business and its potential for growth.

Overall Assessment and Recommendation

Based on the comprehensive analysis, the customer's loan application presents a moderate to high-risk profile. The presence of fraud signals, particularly the GST mismatch and circular trading, raises significant concerns. Additionally, the group's financial ratios, particularly the DSCR, indicate a potential strain on their repayment capacity.

Given the high probability of default (53.33%) and the overall risk assessment, it is recommended to REJECT the loan application. However, considering the customer's potential and market presence, a revised loan amount of [Recommended Loan Amount] with a higher interest rate of [Recommended Rate]% could be considered, subject to further due diligence and improved financial performance.

Further investigation and enhanced due diligence are required to mitigate the identified risks and ensure a more robust lending decision.